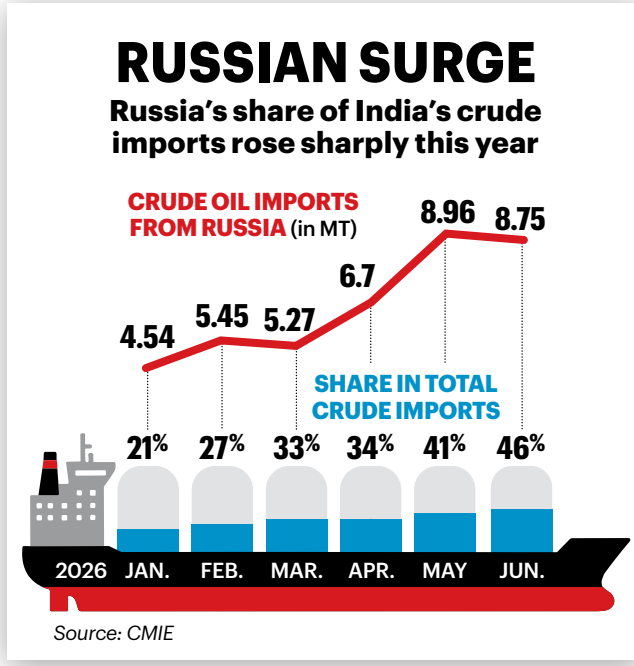
WHY RUSSIAN CRUDE MATTERS

India imports roughly 90 per cent of its crude oil requirement, and Russia remains its dominant supplier. In June 2026, Russian crude accounted for 46 per cent of India's total crude imports, with shipments reaching 8.75 million tonnes. West Asia ranked a distant second, supplying 4.2 MT. India's dependence on Russian crude has risen sharply since the latter's full-scale invasion of Ukraine in February 2022 as sanctions and the retreat of European buyers pushed Moscow to offer discounted oil to Asian refiners.

Russia was also India's largest oil supplier in FY25, with exports worth $56.9 billion (Rs 5.4 lakh crore). But after the Trump administration in 2025 decided to impose an additional 25 per cent penalty on certain Indian exports linked to purchases of Russian crude, imports from Russia softened, falling 14 per cent year-on-year to $23.1 billion (Rs 2.2 lakh crore) in the first half of FY26. Yet Russian oil regained strategic importance after the outbreak of war in West Asia earlier this year disrupted traffic through the Strait of Hormuz, a corridor through which roughly half of India's oil and gas imports flowed in FY25. Iraq, Saudi Arabia, the UAE and Kuwait are among the major suppliers that depend on this corridor.

In February 2026, Washington temporarily eased its stance, allowing India to continue purchasing Russian oil in order to stabilise global energy markets and avoid supply disruptions. That flexibility now appears to be narrowing. Traffic through the Strait of Hormuz remains heavily affected, while negotiations between Iran and the US have yet to produce a breakthrough. Oil prices have reflected these tensions. Brent crude surged above $100 (Rs 9,550) a barrel in the immediate aftermath of the conflict before easing below $80 (Rs 7,650) in June following a temporary ceasefire. By mid-August, however, it had climbed back to $90 (Rs 8,600) a barrel.



INDIA CONTINUES TO FACE UNCERTAINTY AS TRAFFIC THROUGH THE STRAIT OF HORMUZ REMAINS DISRUPTED AND IRAN-US TALKS SHOW LITTLE SIGN OF A BREAKTHROUGH

THE PRICE OF FEWER OPTIONS

"Our dependence on Russian oil is indeed very high," says Prashant Vasisht, senior vice-president and co-group head at ICRA, an investment information and credit rating agency. "Even when the US had imposed a 25 per cent penalty last year, India did not entirely stop buying oil from Russia." While India had ceased purchases from two sanctioned Russian companies, Rosneft and Lukoil, it continued buying from other Russian suppliers. "That is likely to be the case now too, in case the 100 per cent tariff on India comes into force," says Vasisht. The challenge, he argues, is one of limited alternatives. "When imports from the Strait of Hormuz are choked, and importing from places like the US would be costlier, how will India manage its oil imports?" he asks. Freight costs for West Asian crude are typically 40-70 cents (Rs 38-67) a barrel, while shipments from the US can cost $2.5-4 (Rs 240-380) a barrel.

Not all analysts expect a severe economic shock if India is eventually forced to cease Russian purchases. Anindya Banerjee, head of commodity and currency research at Kotak Securities, told a news agency that the discount on Russian crude has narrowed substantially. In 2022, Russian oil traded at a discount of $15-20 (Rs 1,450-1,900) a barrel; today, the gap is only about $2-3 (Rs 190-285). For Banerjee, the larger risk lies in the direction of global crude prices rather than the loss of Russian discounts. Every $10 (Rs 955) per barrel jump in the average price of India's imported crude basket raises the country's annual oil import bill by roughly $15 billion (Rs 1.4 lakh crore), according to him.

That arithmetic explains why the debate in New Delhi extends beyond Russia. The larger question is how India can secure affordable energy as sanctions, conflict, shipping disruptions and trade negotiations become increasingly intertwined. ■